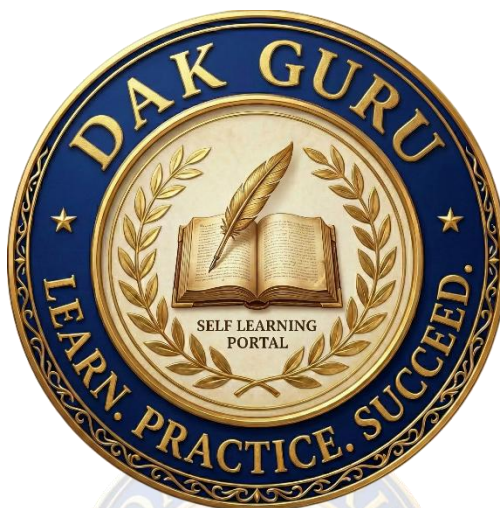


DAK GURU STUDY MATERIAL

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POST OFFICE SAVINGS BANK (CBS) MANUAL

A Complete Self-Preparation Booklet for
LDCE Inspector of Posts (IP) & PS Group 'B' Examination

REVISED & FULLY VERIFIED EDITION — 2026

Updated with provisions in force as on 18 June 2026

Incl. SB Order 01/2026 rates · Finance Act 2025 TDS · e-KYC expansion

Dak Guru

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DISCLAIMER

This booklet has been prepared strictly from an examination point of view for candidates appearing in the **LDCE Inspector of Posts (IP)** and **PS Group 'B'** departmental examinations. While every effort has been made to ensure accuracy and to incorporate the latest amendments, orders, circulars and gazette notifications in force as on the date of this edition, this document is intended as a **study aid only**.

The provisions governing the Post Office Savings Bank are contained in the **Government Savings Promotion Act, 1873**, the **Government Savings Promotion General Rules, 2018** (as amended), the individual **scheme rules**, and instructions issued from time to time by the Department of Posts through **SB Orders**. Interest rates are notified **quarterly** by the Ministry of Finance and are liable to change. Readers must always verify the current position against the **official gazette, the latest SB Order, and the relevant scheme rules** before relying on any provision for official or personal financial decisions.

Dak Guru accepts **no legal liability** for any error, omission, or consequence arising from the use of this material. In case of any conflict between this booklet and an official source, the **official source shall prevail**.

Corrected and verified up to June 2026

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Editor's Note**What Has Changed in This Edition**

This edition has been **forensically re-checked against primary sources** — the relevant gazette notifications, scheme rules and Department of Posts SB Orders — with the position confirmed as on **18 June 2026**. The most important corrections and additions are summarised below so that aspirants relying on an earlier copy can update their notes quickly.

⚠ Key corrections made (where the earlier text was outdated)

#	Topic	Earlier (now outdated)	Corrected — current position
1	TDS on interest (Sec. 194A)	₹40,000 general / ₹50,000 senior	₹50,000 general / ₹1,00,000 senior — Finance Act 2025, w.e.f. 01.04.2025
2	e-KYC coverage	Only Phase-I: Single/Individual POSA	All single-type accounts + all schemes except SSA (SB Orders 07/2025 & 07A/2025)
3	Current interest rates	Not stated in booklet	Full rate table added — Q1 FY 2026-27, SB Order 01/2026

✓ Key facts re-verified and confirmed CORRECT

- **PPF** maximum ₹1,50,000 per FY; **SCSS** maximum ₹30,00,000 (w.e.f. 01.04.2023); **MIS** ₹9 lakh single / ₹15 lakh joint — all confirmed current.
- **Deceased claim without legal evidence up to ₹5,00,000** per account — confirmed (Rule 60(4)(B), POSB (CBS) Manual; SB Order 31/2020 as reiterated).
- **Nomination** — maximum **four** individuals (GSPR Rule 11); **₹50 fee for change/cancellation of nomination removed** w.e.f. 02.04.2025 (SB Order 05/2025) — confirmed.
- **KVP** doubles in **115 months** at 7.5%; **NSC** 5-year term; **Sukanya** 21-year maturity — confirmed current.

- Governing framework remains **GSPR 2018** (under the Government Savings Promotion Act, 1873), amended up to the **GSPR (Amendment) Rules, 2025** — confirmed in force.

i How to read the boxes in this booklet

 **Statutory Update** — a recent change you must know.  **Verified** — confirmed current as on this edition.  **Exam Focus** — frequently asked / high-yield point.  **Caution** — common error or pitfall.



Ready Reference

Current Small-Savings Interest Rates

✓ Rates in force for the quarter 1 April 2026 – 30 June 2026 (Q1, FY 2026-27)

The Ministry of Finance reviews small-savings interest rates **every quarter**. For the April–June 2026 quarter the rates were left **unchanged** from the previous quarter. The table below is the current ready-reference; always confirm the live rate for the quarter in which a deposit is actually made.

Scheme	Rate (p.a.)	Compounding / Payment
Post Office Savings Account (POSA)	4.0%	Annually
National Savings Recurring Deposit (RD)	6.7%	Quarterly compounded
Time Deposit – 1 Year	6.9%	Quarterly comp., paid annually
Time Deposit – 2 Years	7.0%	Quarterly comp., paid annually
Time Deposit – 3 Years	7.1%	Quarterly comp., paid annually
Time Deposit – 5 Years	7.5%	Quarterly comp., paid annually
Monthly Income Scheme (MIS)	7.4%	Paid monthly
Senior Citizens Savings Scheme (SCSS)	8.2%	Paid quarterly
Public Provident Fund (PPF)	7.1%	Annually compounded (tax-free)
Sukanya Samriddhi Account (SSA)	8.2%	Annually compounded (tax-free)
National Savings Certificate (NSC VIII)	7.7%	Annually comp., paid at maturity
Kisan Vikas Patra (KVP)	7.5%	Matures in 115 months (≈ 9 yr 7 mo)

Source: Ministry of Finance quarterly notification for Q1 FY 2026-27, circulated to post offices vide SB Order No. 01/2026; rates unchanged from the January–March 2026 quarter. Effective 01.04.2026.

★ **Two rules to remember about rates**

- For **PPF and Sukanya Samriddhi**, the rate is **floating** — the new quarterly rate applies to the whole balance. For **all other schemes** (RD, TD, MIS, SCSS, NSC, KVP), the rate is **locked at the time of deposit** and stays fixed till maturity, regardless of later revisions.
- Highest current rate = **8.2%** (SCSS and Sukanya Samriddhi). Lowest = **4.0%** (POSA).



Preface

About This Manual

The rules in this version of the Manual are to be followed by all **CBS Post Offices** and **APT–CBS Branch Post Offices**. They apply to the Post Office Savings Account and, with necessary modifications (**mutatis mutandis**), to the following deposit schemes operated through post offices:

- (1) Post Office Savings Account (SB)
- (2) National Savings Recurring Deposit Account (RD)
- (3) National Savings Time Deposit Account (TD)
- (4) Public Provident Fund Account (PPF)
- (5) National Savings Monthly Income Account (MIS)
- (6) Senior Citizens Savings Scheme (SCSS)
- (7) Kisan Vikas Patra (KVP)
- (8) National Savings Certificates (VIII Issue) (NSC)
- (9) Sukanya Samriddhi Account (SSA)

i The legal hierarchy you should keep in mind

1. Parent Act — Government Savings Promotion Act, 1873 (earlier the Government Savings Banks Act, 1873). **2. General Rules** — Government Savings Promotion General Rules, 2018 (GSPR 2018), as amended (latest: GSPR (Amendment) Rules, 2025). **3. Scheme Rules** — e.g. the PPF Scheme 2019, SCSS 2019, SSA Scheme 2019, etc. **4. Departmental instructions** — SB Orders and circulars issued by the Department of Posts, which operationalise the above in Finacle-CBS.

Where this Manual (a departmental compilation) appears to conflict with the **Rules** or a later **SB Order**, the **Rules / SB Order prevail**. This booklet has been written to reflect the position after the latest such instructions.

Each chapter follows the **rule-by-rule** scheme of the official Manual but is rewritten in plain, exam-ready language with worked points, comparison tables and update boxes.

The numbering of rules has been retained for ease of cross-reference with the parent Manual.



Chapter 1

General Instructions

1. Savings Bank Offices

- (1) All Head Offices (HO), Sub-Offices (SO) and Branch Offices (BO) are Savings Bank offices, **except** those not vested with Savings Bank powers, or from which such powers have been withdrawn by the Head of the Circle.
- (2) The facility of **deposit and withdrawal by cheque** is available only at Head Offices and departmental Sub Offices.
- (3) At **Branch Offices**, deposit by cheque or demand draft is permitted (subject to realisation); cheque withdrawal is not available.

e-KYC roll-out — paperless account opening

With effect from **06.01.2025**, a paperless KYC (**e-KYC**) process was introduced for POSB account opening and transactions using **Aadhaar biometric authentication**, after a pilot in 12 Head Offices and 2 Sub Offices from 26.11.2024.

- **Phase-I** covered creation of the CIF and opening of **Single / Individual** Post Office Savings Accounts (POSA) in departmental offices.
- The Aadhaar number must be **masked** (first 8 digits hidden) in every document, including the AOF and KYC forms.

Ref: SB Order No. 01/2025 dated 01.01.2025.

✓ Update — e-KYC now goes well beyond Phase-I

Since the original Phase-I, e-KYC has been **expanded**. Aadhaar-based e-KYC account opening is now available for **all single-type accounts and for all small-savings schemes except the Sukanya Samriddhi Account (SSA)** in departmental post offices; roll-out in Branch Offices via CEPT is being enabled. So the earlier statement that e-KYC is limited only to Single/Individual POSA is **no longer correct**.

Ref: SB Orders No. 07/2025 & 07A/2025 (expansion of e-KYC); confirmed current as on 18.06.2026.

2. Duties and Responsibilities of the Postmaster

- (1) The term '**Postmaster**' includes a Sub Postmaster and a Branch Postmaster.
- (2) Under the orders of the Head of the Circle, the Savings Bank duties of the Postmaster may be performed by the Deputy/Assistant Postmaster or Assistant Sub Postmaster to whom they are assigned in the work-distribution memo — **except** the following, which the Postmaster must perform personally:
 - (a) Custody of pass books and savings certificates.
 - (b) Verification of the daily transfer of cash to and from the Savings Bank branch.
 - (c) Supervision of the work of the Savings Bank branch to ensure the rules are strictly followed.

3. Distribution of Work

- (1) In Head Offices and large Sub Offices, the Postmaster distributes the Savings Bank work among the assistants.
- (2) One assistant (**Counter Assistant**) is assigned receipt and payment of cash and entry of transactions in the system.
- (3) Another assistant (**Ledger Assistant / Supervisor**) is assigned verification of transactions and their authorisation in the system.
- (4) **User IDs:** Every official working in CBS must have a **unique User ID**. The password is to be kept secret and changed frequently. **Sharing of User IDs is strictly prohibited.**

★ **Maker–Checker is the heart of CBS control**

Every financial transaction in Finacle passes through a **maker** (Counter Assistant who posts) and a **checker** (Supervisor who verifies/authorises). One person can never both post and verify the same transaction. Sharing passwords defeats this control and is the leading cause of internal fraud.

4. CBS Pass Book

- (1) A pass book in **Form SB-5** (or a computer-generated pass book) is to be presented by the depositor for every deposit or withdrawal.

- (2) The pass book is for the information of the public; the Department has **no legal liability** for the balance or transactions shown in it if they differ from the balance in the **Government ledger**.
- (3) No transaction is to be done without production of the pass book, except where specifically authorised (e.g. automated credit of interest, salary, etc.).
- (4) The pass book should **not be stapled**, so that it remains pass-book-printer friendly.

Masking of Aadhaar on pass books

If an Aadhaar number is written or printed on a pass book (or any document), it must be **masked** so that only the **last four digits** are visible (e.g. XXXX-XXXX-1234).

Ref: SB Order No. 01/2025 dated 01.01.2025.

5. Stock Register for CBS Pass Books in Head Post Offices

- (1) Blank pass books received from the **Circle Stamp Depot (CSD)** are entered in the Stock Register (**Form SB-4** / Stock menu in CBS).
- (2) The Postmaster verifies the **physical stock** against the Stock Register **daily**.
- (3) The indent for pass books is prepared **quarterly** and sent to the CSD.
- (4) A separate page/register is maintained for each type of pass book (SB, RD, TD, SCSS, etc., where distinct).

6. Stock Register of CBS Pass Books in Sub Offices

- (1) For each Sub Office, the Divisional Head fixes the **authorised stock** of pass books, equal to the average requirement of **two months**.
- (2) The SO indents on the HO at the **beginning of every month** to replenish stock up to the authorised limit.
- (3) The indent is prepared in **duplicate**, one copy retained in the SO.
- (4) The HO supplies pass books to each SO under a **separate series of invoice**.

7. Transmission of CBS Pass Books

- (1) When a depositor hands over a pass book to a post office for despatch to another office (e.g. for interest entry or correction), it is sent by **service registered post**.
- (2) A **receipt** for the registered article is given to the depositor.

- (3) Transmission of pass books between a Branch Office and its Account Office is entered in the **BO Journal** and the **Account Office Journal**.

8. Register of Undeliverable CBS Pass Books

- (1) A register of undeliverable pass books is maintained in **Form SB-19** in all Head and Sub Offices.
- (2) Pass books remaining undelivered for **three months** are treated as unclaimed and (in the case of SOs) sent to the HO for safe custody.
- (3) The Head Postmaster keeps such pass books in his **personal custody** and enters them in a separate register.

9. Pay-in-Slip (SB-103)

- (1) For every deposit in an SB, RD, TD, PPF, SCSS or SSA account, or for purchase of savings certificates, the depositor fills a Pay-in-Slip in **Form SB-103**.
- (2) It must show the **account number, name, amount in figures and words, signature** of the depositor/messenger, and the **mode of deposit** (cash/cheque).
- (3) For a cheque deposit, the **cheque number, date and bank name** are recorded on the slip.
- (4) The **counterfoil**, signed and date-stamped by the Counter Assistant, is returned to the depositor as a receipt.

Paperless deposits for e-KYC customers

- For accounts linked with **e-KYC**, deposits made by the **account holder personally** can be processed by **biometric authentication without any Pay-in-Slip**, irrespective of amount.
- If the deposit is made by **any person other than the account holder** (a messenger / third party), it is processed on a **paper basis** — Pay-in-Slip SB-103 is collected.

Ref: SB Order No. 01/2025 dated 01.01.2025.

10. Preliminary Receipt (SB-26)

- (1) When a depositor tenders cash/cheque to open or add to an account at a **Branch Office**, the Branch Postmaster issues a Preliminary Receipt in **Form SB-26**.

- (2) It is prepared in **duplicate with carbon**: the original to the depositor, the duplicate retained as office record.
- (3) The final receipt (entry in the pass book) is given after the transaction is accounted at the Account Office (for non-RICT BOs) or immediately on a successful transaction (for RICT/DARPAN BOs).
- (4) On **DARPAN** devices, the system-generated receipt is issued to the depositor.

11. Receipt for Pass Book (SB-28)

- (1) When a pass book is taken from a depositor (e.g. for interest posting or correction) and cannot be returned at once, a receipt in **Form SB-28** is issued.
- (2) The pass book is returned only on **surrender of the SB-28** receipt.
- (3) If the depositor has lost the SB-28, the pass book may be returned on a **letter of indemnity** after the Postmaster is satisfied about identity.

12. Supply of Savings Bank Statement of Account

- (1) In CBS offices, a **Statement of Account** can be generated for any period.
- (2) It is supplied on payment of the prescribed fee (**₹20 + GST** per statement).
- (3) For **check-off** schemes (e.g. PLI/RPLI premium recovery), the statement may be generated for reconciliation.

Chapter 2

Opening of Accounts

13. Types of Savings Accounts

The following types of accounts may be opened under the Post Office Savings Account scheme:

- **(a) Single Account** — by an adult, or by a minor who has attained **10 years**.
- **(b) Joint Account** — by two adults jointly:
 - **Joint 'A'**: payable to **both jointly**, or to the survivor.
 - **Joint 'B'**: payable to **either** holder, or to the survivor.
- **(c) Pension Account** — opened by a pensioner for credit of pension.
- **(d) Provident / Superannuation / Gratuity Fund Account** — opened on behalf of the administering authority.
- **(e) Sanchayika Account** — opened by a school/college. *(The Sanchayika scheme has been discontinued; existing accounts are to be closed.)*

✓ e-KYC limitation — now relaxed

Originally e-KYC opening (Phase-I) was available **only** for Single/Individual POSA, with joint and other accounts on the paper-based process. As updated by **SB Orders 07/2025 & 07A/2025**, e-KYC opening now extends to **all single-type accounts across schemes (except SSA)**. Joint accounts continue on the paper-based AOF process. CIF creation via e-KYC is, in any case, permitted.

Ref: SB Order 01/2025; expanded by SB Orders 07/2025 & 07A/2025.

14. Specimen Signature and Photograph

- (1) The depositor furnishes a **specimen signature** and **photograph** at the time of opening.
- (2) For an **illiterate** depositor, the thumb impression is attested by a witness known to the post office.
- (3) The specimen signature/thumb impression is **scanned and uploaded to Finacle-CBS** during CIF creation.

Biometric vs wet signature for e-KYC accounts

- For **e-KYC accounts**, biometric (fingerprint/iris) authentication serves as the verification for the transaction.
- Even so, the depositor still gives a **wet signature** on the reduced AOF / consent form, for record and for future non-biometric transactions.

Ref: SB Order No. 01/2025, para 5.

15. Nomination

- (1) Nomination is to be made at the opening of all types of accounts (and may be made or altered later).
- (2) A depositor may nominate one or more individuals, **not exceeding four**, to receive the eligible balance on death.
- (3) For a minor's account, nomination is made by the **guardian**.
- (4) No nomination is allowed where an account is opened by a person (other than a guardian) on behalf of a minor, or by/on behalf of a trust or office.

Nomination — maximum four (statutory)

The **maximum of four nominees** is fixed by **Rule 11 of GSPR 2018**. Where multiple nominees are named, the depositor may specify the **share** of each; if not specified, shares are taken as equal. Verified current.

Ref: Rule 11, Government Savings Promotion General Rules, 2018.

Change/cancellation of nomination is now FREE

The earlier service charge of **₹50** for change or cancellation of nomination has been **removed**, to encourage keeping nominations updated. The fee entry was deleted from Schedule II of GSPR 2018.

Ref: GSPR (Amendment) Rules, 2025 (G.S.R. 214(E), gazette 02.04.2025), circulated vide SB Order No. 05/2025 dated 03.04.2025.

16. Opening of a Savings Account

- (1) The depositor submits the Account Opening Form (**Form SB-3 / AOF**) with:
 - (a) KYC documents (identity and address proof);
 - (b) Initial deposit (minimum **₹500** for SB);
 - (c) Photograph (two copies).

- (2) The Counter Assistant verifies the documents, creates the **CIF** (if not existing) and opens the account in the system.
- (3) **Funding:** The initial deposit is funded immediately. If by cheque, the account is opened but remains inactive for withdrawal until the cheque is cleared.

Revised account-opening forms (e-KYC)

- **SB-eKYC-1** — application for opening an account (e-KYC customers).
- **SB-eKYC-AOF** — abbreviated account opening form.
- **e-KYC Consent Form** — signed by the customer authorising the UIDAI data fetch.

Ref: SB Order No. 01/2025 dated 01.01.2025.

17. Know Your Customer (KYC) Guidelines

- (1) The **Customer Identification File (CIF)** is the primary unit for KYC compliance in CBS.
- (2) No account is opened without creation of a CIF and full KYC compliance.
- (3) **Risk categorisation** — customers are classified as **Low / Medium / High** risk on the basis of their profile:
 - **Low:** balance up to ₹50,000 and annual turnover up to ₹2 lakh.
 - **Medium:** balance above ₹50,000 but below ₹10 lakh.
 - **High:** balance above ₹10 lakh, or a Politically Exposed Person (PEP).

Aadhaar e-KYC procedure

- On successful **biometric authentication** with UIDAI, KYC for e-KYC onboarding is deemed complete.
- Finacle **auto-fetches** demographic details (name, address, DOB, gender, photo) from UIDAI; these **cannot be edited** manually.
- The Aadhaar number is **masked** in the system and on all printed forms.

Ref: SB Order No. 01/2025.

18. Acceptance of Initial Deposit (Funding)

- (1) The initial deposit is accepted in **cash** or by **cheque**.
- (2) **Cash mode** — the Counter Assistant accepts the cash, posts the amount and generates a Transaction ID; the Supervisor verifies and authorises.

- (3) **Cheque mode** — the account is opened with **zero** balance (or the minimum held as lien); the amount is credited only on **clearance**, and the **date of deposit is the date of clearance**.

19. Issue of Pass Book

- (1) A pass book is issued to every depositor on opening a new account.
- (2) It is printed using the **pass-book printer** attached to CBS.
- (3) Entries must show: name of the post office; date of opening; **account number** (10/12 digits as per scheme); **CIF ID**; name and address; mode of operation (Single/Joint/Minor); and nomination registration number, if any.

Aadhaar must not be visible on the pass book

While printing or writing on the pass book, the Postmaster ensures the **Aadhaar number is not visible**; if it appears, it is **masked** (e.g. XXXX-XXXX-9876).

Ref: SB Order No. 01/2025.

20. Processing in the Central Processing Centre (CPC)

- (1) For cheque clearing, the **CPC** (or Nodal office) plays a key role.
- (2) The CPC processes the **inward** and **outward** clearing files uploaded by SOs/HOs.
- (3) The CPC reconciles the **office account (SOL ID + 0382)** used for clearing.

21. Opening an Account at a Branch Office (BO)

- (1) The Branch Postmaster accepts the AOF (**SB-3**), KYC documents and initial deposit.
- (2) **RICT/DARPAN BOs** — the BPM initiates the new-account request on the DARPAN device, collects the deposit and issues a **digital receipt**; the request flows to the Account Office for verification and approval in Finacle.
- (3) **Non-RICT BOs** — the BPM issues a Preliminary Receipt (**SB-26**) and sends the documents and cash to the Account Office.

22. Scrutiny of the Account Opening Form

- (1) The Counter Assistant verifies that the name matches the ID proof, the address matches the address proof, the photograph is recent and clear, and the signature matches the specimen.

PAN or Form 60 — now mandatory for ALL accounts

Quoting of **PAN**, or submission of **Form 60**, is mandatory for opening **all** types of accounts, **regardless of the deposit amount**, to ensure validity under Income-Tax Rules.

Ref: SB Order No. 08/2023.

23. Creation of Joint Accounts

- (1) A **separate CIF** must be created for **each** holder.
- (2) The account is opened by linking the CIFs of all holders.
- (3) The **Primary CIF** determines the tax liability (TDS).

24. Guardianship in Minor Accounts

- (1) For a minor's account, the **guardian's CIF** is linked.
- (2) The minor's **date of birth** is a mandatory field.
- (3) The system tracks the date of majority; on attaining **18 years**, operations stop until the status is converted to 'Major'.

25. Introducer

- (1) The concept of an 'introducer' has largely been replaced by KYC documents.
- (2) Where still needed (e.g. an illiterate depositor lacking certain proofs), the introducer must be an existing respectable account holder or a permanent post-office employee.
- (3) The introducer signs the AOF in the presence of the Postmaster.

Chapter 3

Subsequent Transactions

26. Subsequent Deposits

- (1) For a subsequent deposit, the depositor presents the **pass book** with a completed Pay-in-Slip (**SB-103**).
- (2) The Counter Assistant verifies the account number and name and accepts the cash/cheque.
- (3) **Mode of deposit:** (a) cash; (b) cheque/DD; (c) electronic transfer (NEFT/RTGS/IMPS).
- (4) For a **cheque** deposit, the **date of deposit is the date of clearance**.
- (5) A remark on the mode of deposit is recorded in the system and on the slip.

 Paperless self-deposit (e-KYC)

- If the account is **e-KYC (Aadhaar-seeded)** and the **depositor is present**, the deposit can be made by **biometric authentication** with **no Pay-in-Slip**, irrespective of amount.
- If a **messenger / third party** makes the deposit, a physical Pay-in-Slip is **mandatory**.

Ref: SB Order No. 01/2025 dated 01.01.2025.

27. Deposit by Cheque

- (1) Cheques drawn on proper banks, or on the Post Office Savings Bank, may be accepted for deposit.
- (2) **Outstation** cheques are collected through the clearing mechanism.
- (3) Collection charges, if any, are debited to the account.
- (4) The cheque amount is **not available for withdrawal** until realised and credited.

28. Withdrawals

- (1) The depositor presents the **pass book** with a signed Application for Withdrawal (**Form SB-7**).

- (2) For a literate depositor, the signature on the warrant of payment is compared with the specimen in the system.
- (3) The Counter Assistant verifies the **balance** before allowing withdrawal.
- (4) **Minimum balance:** no withdrawal may reduce the balance below the prescribed minimum (**₹500** for SB).

Biometric withdrawals (e-KYC)

- A withdrawal up to **₹5,000** can be made by **biometric authentication without** a physical SB-7, if the depositor is present.
- For a withdrawal **above ₹5,000**, a physical **SB-7** is required even where biometric authentication is used.

Ref: SB Order No. 01/2025.

29. Limits on Cash Withdrawals

- (1) **At HO/SOs:** there is **no maximum limit** for self-withdrawal in cash, subject to availability of cash and satisfactory identification; withdrawals over **₹20,000** are preferably paid by cheque or transfer.
- (2) **At Branch Offices (GDS BO):** maximum cash withdrawal **₹20,000 per day per account**; a withdrawal above **₹5,000** needs the BPM's signature on the reverse of the SB-7 and, in some cases, Account-Office sanction.

30. Withdrawal by Messenger

- (1) A depositor who cannot attend may authorise a messenger to withdraw.
- (2) The depositor signs the **Letter of Authority** printed on the reverse of SB-7.
- (3) The messenger produces: (a) the pass book; (b) the SB-7 signed by the depositor; (c) his/her own **identity proof**.
- (4) Payment to a messenger is **not allowed** for: (a) illiterate depositors; (b) blind / physically handicapped depositors who cannot sign.

31. Identification of Depositor

- (1) The primary mode of identification is the **specimen signature** stored in CBS.
- (2) On any doubt, the Postmaster may ask for a fresh specimen, production of identity proof (Aadhaar/PAN/Voter ID), or a witness known to the post office.

i Biometric is the strongest identification

For Aadhaar-linked (e-KYC) accounts, **biometric authentication** is the highest form of identification and overrides signature verification for the transaction (a wet signature is still taken for record in high-value cases).

32. Payment of Withdrawal

- (1) Payment is made: (a) by **cash** up to ₹20,000; (b) by **cheque** for any amount (mandatory above ₹20,000 if requested); (c) by **transfer** to another POSB account.
- (2) The warrant of payment (SB-7) is stamped 'Paid' and signed by the Postmaster before cash is handed over.

🔔 TDS on cash withdrawals — Section 194N

- TDS at **2%** applies on aggregate cash withdrawals exceeding **₹20 lakh** (for those who have not filed ITR for the preceding three years) or **₹1 crore** (for filers) in a financial year.
- **Centralised deduction:** Finacle computes and deducts this TDS automatically at the time of withdrawal; the office does not calculate it manually.

Ref: Section 194N, Income-tax Act, 1961; SB Order No. 16/2025.

33. Updating of Pass Book

- (1) The pass book is updated on the **pass-book printer** after every transaction.
- (2) If the printer is down, entries may be made **manually** under the Postmaster's signature, and updated in the system immediately.
- (3) **Unposted items:** on presentation, the Counter Assistant checks for unposted items (interest, automated credits) and updates them in the pass book.

34. Return of Pass Book

- (1) After the transaction, the pass book is returned to the depositor/messenger.
- (2) The Postmaster ensures the pass-book balance agrees with the system balance after the transaction.

35. Preservation of Vouchers

- (1) The SB-7 and SB-103 act as **vouchers** for the transaction.

- (2) These are sent to the **SBCO** with the daily returns.

36. Interest Calculation (Savings Account)

- (1) Interest is calculated on the **lowest balance** between the **10th** and the **last day** of each calendar month.
- (2) Interest is credited at the **end of the financial year (31 March)**.
- (3) **No interest** is allowed for any month in which the balance falls below **₹500** at any time between the 10th and the last day.
- (4) If the account is closed during the year, interest is allowed up to the end of the month **preceding** the month of closure.

✓ Current POSA interest rate

4.0% per annum (Q1 FY 2026-27, SB Order 01/2026 — unchanged). POSA interest is **exempt up to ₹10,000** per year in aggregate under Section 80TTA (Section 80TTB for senior citizens, with a higher limit), in the old tax regime.

37. Closure of Account

- (1) An account may be closed any time by the depositor on the pass book and an Application for Closure (**Form SB-7A**).
- (2) The Counter Assistant verifies the balance, including interest due.
- (3) **Joint account** — the closure application must be signed by **all** surviving depositors.
- (4) **Minor account** — signed by the guardian, who certifies that the minor is alive and the amount is needed for the minor's use.

Biometric closure (e-KYC) & payment mode

- For **single-type** SB accounts under e-KYC, closure may be processed by **biometric authentication** if the depositor is present (SB-7A retained for record).
- **Payment of closure proceeds** is primarily by **credit to a bank account or PO savings account**; cash payment is restricted.

Ref: SB Order No. 01/2025.

38. Payment of Closure Amount

- (1) Closure proceeds are paid: (a) **up to ₹20,000** by cash (subject to availability); (b) **above ₹20,000** by cheque or credit to a POSB account only.
- (2) The closure amount includes the principal and interest due up to the preceding month.

Centralised TDS on closure

Where the interest component crosses the threshold (e.g. in SCSS/TD), TDS is deducted **automatically** by the system and accounted at the **Central Processing & Reconciliation Centre (CPRC)**; the office does not do local TDS accounting.

Ref: SB Order No. 16/2025.

41. Silent (Dormant) Accounts

- (1) An account with **no deposit or withdrawal for three complete financial years** is treated as a **Silent Account**.
- (2) The system changes the status to 'Silent'/'Dormant' at the end of the financial year.
- (3) A transaction in a Silent Account is allowed only after **revival**.
- (4) **Credit of interest is not** treated as a transaction for keeping an account active.

Biannual freezing of inoperative matured accounts

- Matured accounts under PPF, NSC, KVP, TD, etc. that are neither extended nor closed for **3 years after maturity** are **frozen**.
- This freezing is run **twice a year (1 July and 1 January)**; such accounts are flagged "INOP – Inoperative > 3 years" in Finacle.

Ref: SB Order No. 10/2025 dated 15.07.2025.

42. Revival of Silent Accounts

- (1) A Silent Account is revived on an application with **KYC documents**.
- (2) The Postmaster verifies KYC and enables the account through the relevant menu (CFR or equivalent).
- (3) At least one **deposit or withdrawal** immediately after revival is needed to make the account 'Active'.

43. Transfer of Account

- (1) A depositor may transfer an account between post offices (CBS to CBS).
- (2) The transfer application (**Form SB-10(b)**) may be submitted at either the transferor or transferee office.
- (3) **Transfer fee: ₹100 + GST** is collected from the depositor.
- (4) In CBS the transfer is electronic and immediate on approval by the authorised official.
- (5) The transferor office sends the **SB-3** and KYC documents to the transferee office by service registered post.

44. Fresh Pass Book on Transfer

- (1) If the entries in the pass book are not exhausted, the same pass book is used after transfer.
- (2) The new post-office name is entered/stamped in the pass book.
- (3) If a fresh pass book is requested, it is issued on the prescribed fee (**₹10** if the old one is not used up; **free** if used up).

45. Maintenance of Transfer Journal

- (1) All transfers (inward and outward) are entered in the **Transfer Journal** in CBS.
- (2) The Postmaster verifies the Transfer Journal **daily** to ensure no unauthorised transfers.

Chapter 5

Settlement of Deceased Claim Cases

46. Settlement of Claims

The amount standing to the credit of a deceased depositor is settled in favour of:

- **(a) Nominee** — where a valid nomination is in force.
- **(b) Legal heir** — on production of **Probate of Will, Letter of Administration or Succession Certificate** (where there is no nomination).
- **(c) Claimant** — on **Bond of Indemnity, Affidavit and Letter of Disclaimer**, where neither nomination nor legal evidence exists and the claim is within the prescribed limit.

✓ Limit for settlement without legal evidence

Where there is **no nomination and no legal evidence**, the competent authority may settle a claim **up to ₹5,00,000** (Rupees five lakh) **per account / registration**, on the prescribed documents (Bond of Indemnity, Affidavit, Letter of Disclaimer). For amounts **above ₹5 lakh** without nomination, a **Succession Certificate** (or Probate / Letter of Administration) from a court is required.

Ref: Rule 60(4)(B), POSB (CBS) Manual; SB Order No. 31/2020 (with revised authority limits in SB Order 36/2020), reiterated by Directorate guidelines dated 10.01.2023. Verified current as on 18.06.2026.

47. Time Limit for Settlement

- (1) Prescribed timelines: **(a) nomination cases — within 1 working day; (b) other cases — within 7 working days**, of receipt of complete documents.
- (2) **No separate sanction memo** is to be issued by the SO/HO; the sanction is accorded on the **claim form itself** (second part of Form-11, marked 'For Office Use Only').

★ Two simplifications you should remember

- Separate sanction memos were **discontinued from 01.01.2011** (SB Order 25/2010); issuing one is a common irregularity.
- Where a deceased claim is received with **complete documents, further verification through SDI(P)/PRI(P) is not required.**

48. Payment of Interest in Claim Cases

- (1) Interest is allowed up to the **end of the month preceding** the month in which the account is closed / the claim is paid.
- (2) **TD/SCSS/MIS** — on death before maturity, interest is paid as per the conditions of the specific scheme (often the savings rate or the contracted rate, depending on the period held).

TDS in deceased claim cases

- If the interest component crosses the TDS threshold, Finacle deducts tax automatically against the **PAN of the deceased** or the claimant (per the 'estate of' procedure, where applicable).
- For **cash settlements** above the Section 194N limits, TDS applies — so claims are preferably settled by **cheque or account transfer**.

Ref: SB Order No. 16/2025.

49. Procedure Where Nomination Exists

- (1) The nominee submits: (a) **claim application form**; (b) **death certificate** (original or self-attested copy); (c) **KYC** of the nominee.
- (2) The Postmaster verifies the nomination details (system/physical record) and sanctions the claim.
- (3) Where the nominee's signature is available on the KYC documents, **physical presence of witnesses is not required**.

i Nominee gets precedence

A registered nomination in force at the time of death must be paid to the **nominee irrespective of the claim amount**, without insisting on legal evidence — and such payment absolves the post office of further liability. (If a legal heir produces a Succession Certificate/Probate before sanction, the claim is settled on that basis.)

50. Procedure Where Legal Evidence Exists

- (1) The claimant submits the original **Succession Certificate, Probate of Will or Letter of Administration** issued by a competent court.
- (2) The Postmaster verifies genuineness and sanctions the claim.
- (3) **No indemnity bond** is required in such cases.

51. Claims Without Nomination or Legal Evidence (up to ₹5 lakh)

- (1) The legal heir submits: (a) claim form; (b) death certificate; (c) **Letter of Indemnity** on non-judicial stamp paper; (d) **Affidavit**; (e) **Letter of Disclaimer** from all other legal heirs.
- (2) **Local enquiry** may be made to ascertain the heirs if necessary, without delaying settlement beyond the prescribed timeline.

i Note on forms

The earlier **Form SB-84** for indemnity has been discontinued for SB accounts; the claimant submits the **revised prescribed claim form** along with the three legal documents (Affidavit, Letter of Indemnity, Letter of Disclaimer). A claim without nomination can be filed **after six months** from the date of death.

52. Payment of Claim Amount

- (1) The sanctioned amount is paid by: (a) **credit to a POSB account** (preferred); (b) **account-payee cheque**; (c) **cash** only if small and unavoidable, subject to Income-Tax rules.
- (2) The claimant signs the **acquittance** on the claim form or a separate voucher. (Best practice: all deceased-claim payments by **crossed cheque / account credit**.)

53. Claims in Respect of Minors

- (1) If the nominee/claimant is a **minor**, the amount is paid to the **guardian**.
- (2) The guardian certifies that the amount is required for the benefit of the minor.

54. Missing Persons (Presumption of Death)

- (1) A claim for a depositor reported missing can be settled only after **7 years** from the date of the FIR/police report.
- (2) The claimant produces a **decree of presumption of death** from a competent court.

55. Verification of Sanction

- (1) Inspecting authorities (IPO/ASP) check a percentage of sanctioned claim cases during inspection.
- (2) Any irregularity in sanctioning without proper authority or documents is viewed seriously.

Chapter 6

Cheque Clearing (CTS)

56. Acceptance of Cheques

- (1) Cheques drawn on POSB accounts or other bank accounts may be accepted for deposit into **SB, PPF and SSA** accounts.
- (2) **Crossed cheques only** are accepted for collection; an open cheque is crossed generally before acceptance.
- (3) **Third-party cheques** (drawn in favour of someone other than the depositor) are **not** accepted for collection in POSB accounts.
- (4) **Outstation** cheques on non-clearing banks are not accepted unless a collection arrangement exists with the accredited bank.

57. Cheque Truncation System (CTS) Standards

- (1) All cheques accepted for clearing must conform to **CTS-2010 standards**.
- (2) **Images** of the cheque (front and back) are captured by the cheque scanner and uploaded to the clearing house via the grid/nodal branch.
- (3) The **physical cheque** is retained by the presenting branch (post office) and not sent to the paying branch.

58. Positive Pay System (PPS)

- (1) **PPS** is a mechanism to re-confirm the key details of large-value cheques.
- (2) The **drawer (issuer)** submits the cheque details (number, date, amount, payee) to the post office electronically or physically.

 PPS mandate

- Per RBI guidelines adopted by the Department, PPS is **mandatory** for all cheques of **₹10,00,000 and above**.
- For cheques between **₹5,00,000 and ₹10,00,000**, the facility is at the account holder's discretion.

- If PPS details are unavailable/mismatched for a mandatory-value cheque, it is returned with the reason **“PPS Data Not Available / Mismatch”**.

Ref: SB Order No. 24/2022 and subsequent clarifications.

59. Inward Clearing (Cheques Drawn on the PO)

- (1) The **CPC** / nodal clearing branch receives the images/data of cheques drawn on POSB accounts from the clearing house.
- (2) Signatures are verified against the specimen stored in Finacle-CBS.
- (3) **Technical scrutiny** — (a) date (not stale/post-dated); (b) amount in words and figures match; (c) stop-payment instructions, if any.
- (4) If in order, the amount is **debited** from the drawer's account in Finacle.

60. Outward Clearing (Cheques Deposited in the PO)

- (1) Cheques deposited for credit are entered in the **Outward Clearing Register**.
- (2) They are sorted bank/branch-wise and scanned in the CTS application.
- (3) Images are transmitted to the **nodal bank branch** attached to the HO.
- (4) **Credit of proceeds** — the amount is credited only after realisation; the date of credit is the date the clearance/credit advice is received (**T+1 / T+2** basis).

61. Dishonour of Cheques

- (1) If a cheque is returned unpaid, a **Cheque Return Memo** is generated stating the reason (e.g. 'Funds Insufficient', 'Signature Differs').
- (2) **Dishonour fee** is debited — current rate **₹100 + GST (total ₹118)**.
- (3) The physical cheque (or Image Return Advice) is returned to the depositor with the return memo.

62. Validity of Cheque

- (1) A cheque is valid for payment for **three months** from the date of issue.
- (2) A **stale** cheque (older than 3 months) is returned with the reason **“Instrument Stale”**.
- (3) A **post-dated** cheque is returned with the reason **“Instrument Post-dated”**.

63. Endorsement on Cheques

- (1) 'Account Payee' cheques cannot be endorsed to a third party.
- (2) Regular endorsements (e.g. for collection) are signed on the reverse.
- (3) The Postmaster verifies the endorsement chain before acceptance.

64. Grid Clearing Process

- (1) Under CBS, clearing is often centralised at the **Circle/Region level (grid)**.
- (2) SOs send the physical cheques/images to the HO or nodal office daily.
- (3) The HO consolidates clearing for the whole group.

65. Preservation of Cheques

- (1) **Paid (inward)** cheques are preserved at the CPC/HO for **10 years**.
- (2) **Presented (outward)** instruments (after scanning) are preserved by the presenting branch for **10 years** (per CTS rules, to resolve disputes).

Digital archival before destruction

Before destroying physical cheques (after the preservation period), the images must be archived in the Department's **Electronic Content Management (ECM)** system.

Ref: SB Order No. 05/2025.

Chapter 7

Miscellaneous Service Requests

66. Issue of Duplicate Pass Book

- (1) A duplicate pass book may be issued if the original is lost, stolen, destroyed or mutilated.
- (2) The depositor applies in **Form SB-41**, duly signed.
- (3) The prescribed **fee** is paid by the depositor.
- (4) **In CBS** — the Counter Assistant verifies the application and fee; selects 'Issue Duplicate Passbook'; prints a fresh pass book marked **"Duplicate Issued"**; and the old series/number is marked 'Lost/Destroyed' to prevent misuse.

 Duplicate pass book — fee and GST

- Fee **₹50** per pass book; **GST 18% (₹9)**; **total ₹59**, deducted from the account or collected in cash (receipt issued).

Ref: SB Order No. 01/2021 read with the applicable GST rate.

67. Pass Book in Lieu of Spoiled / Used-Up

- (1) If a pass book is **used up** (all pages filled), a fresh one is issued **free of cost** in continuation.
- (2) If a pass book is **spoiled** (damaged but identifiable), a fresh one is issued on the prescribed fee (**₹10 + GST**).
- (3) The used/spoiled pass book is cancelled by the Postmaster and returned (if used up) or retained (if spoiled).
- (4) The remark **"Continuation of Pass Book No..."** is made on the new pass book.

68. Pledging of Account (as Security)

- (1) A depositor may pledge a Savings Account, Time Deposit or savings certificate as security to a **Government authority, local authority, housing finance company or scheduled bank**.

- (2) Application in **Form SB-13**, signed by both the depositor (pledger) and the authority (pledgee).
- (3) **Procedure:** the Postmaster verifies signatures and authority; a **lien** is noted in the system; the pass book/certificate is endorsed "Pledged to [authority] vide Registration No... dated..."; and is handed to the **pledgee**.

Pledging fee

A fee of **₹100 + GST (total ₹118)** applies for pledging an account, deposited at the time of application.

Ref: SB Order No. 01/2021.

69. Release of Pledge

- (1) The pledge is released on a written authority from the **pledgee**.
- (2) The pledgee returns the pass book/certificate with the release letter.
- (3) The Postmaster removes the lien and endorses "**Pledge Released**".
- (4) **Partial release** is **not** permitted for savings certificates; it is permitted in Time Deposit accounts subject to scheme rules.

70. Attachment of Account (Court / Tax Orders)

- (1) On a prohibitory/attachment order from a **court** or **Income-Tax authority**, the Postmaster immediately marks a '**Freeze**/'**Lien**' in the system.
- (2) **Scope** — the attachment applies to the **balance at credit at the time** of the order; it does not apply to subsequent deposits unless specified.
- (3) The Postmaster **informs** the depositor of the order.
- (4) No withdrawal is allowed from the attached amount until the order is withdrawn or the amount is remitted.

Online compliance of notices

Income-Tax and court notices received through the Department's **Legal Cell portal** must be complied with within **24 hours**; the 'Freeze' status in Finacle prevents all debit transactions.

Ref: SB Order No. 09/2024.

71. Remittance of Attached Amount

- (1) If the court/authority orders remittance, the Postmaster closes/withdraws the amount (with interest due), draws a **cheque/DD** in favour of the court/authority, and deducts the remittance cost from the balance.

72. Change of Name of Depositor

- (1) A name change is allowed on production of: (a) **Gazette notification** or **marriage certificate**; (b) fresh **KYC** with the new name.
- (2) The Postmaster updates the **CIF** and issues a fresh pass book with the new name.
- (3) A **fresh specimen signature** with the new name is obtained (the old signature retained for historical verification).

i Change of name is now expressly provided in the Rules

GSPR 2018 was amended (Second Amendment, 2023) to expressly allow **change of name or surname** by the Accounts Office following the procedure laid down by the Reserve Bank / Department — putting the long-standing practice on a clear statutory footing.

Ref: GSPR (Second Amendment) Rules, 2023.

73. Transfer to 'Government' (Confiscation)

- (1) On a confiscation order from a competent authority (e.g. under SAFEMA), the amount is transferred to the **Government account** (head specified in the order) and the account is closed.

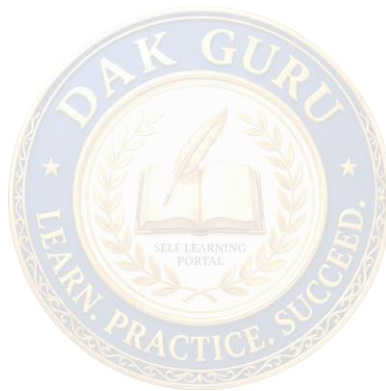
74. Minor Attaining Majority

- (1) On a minor attaining **18 years**, the guardian's operation ceases immediately.
- (2) The now-major depositor submits: fresh **SB-3**; fresh **KYC**; fresh **specimen signature**.
- (3) The Postmaster converts the status from 'Minor' to 'Major' in the system.

75. Conversion of Account Type

- (1) **Single ↔ Joint** conversion is **allowed** in SB and TD; it is **not allowed** in SCSS, PPF or SSA (except specific clauses).

- (2) **Procedure** — a fresh SB-3 signed by all holders; fresh KYC for any new member; the **account number stays the same**, but the **CIF linkage** is updated in Finacle.



Chapter 8

National Savings Recurring Deposit (RD)

✓ Current rate

6.7% per annum (Q1 FY 2026-27, SB Order 01/2026 — unchanged), quarterly compounded. Rate is **locked at opening** for the full term.

76. Opening of Account

- (1) An account may be opened by: (a) a single adult; (b) two or three adults jointly (Joint-A/B); (c) a minor of **10 years** or above; (d) a guardian on behalf of a minor or a person of unsound mind.
- (2) **Minimum deposit: ₹100** per month, or any sum in multiples of **₹10**.
- (3) There is **no maximum limit**.
- (4) The monthly deposit fixed at opening **cannot be changed** during the currency of the account.

77. Subsequent Deposits (Due Dates)

- (1) The depositor makes **60 monthly deposits**.
- (2) **Due date** — (a) account opened between the **1st and 15th**: deposit by the **15th** of each month; (b) opened between the **16th and month-end**: deposit by the **last working day** of each month.
- (3) If the last date is a Sunday/postal holiday, the deposit may be made on the next working day **without default fee**.

78. Default and Revival

- (1) **Default fee** — **₹1 for every ₹100** of denomination for each month of default.
- (2) **Discontinuation** — after **more than four** defaults the account is treated as 'Discontinued'.
- (3) **Revival** — a discontinued account may be revived within **two months** from the month of the fifth default by paying all defaulted instalments with the default fee.

- (4) If not revived in this period, no further deposits can be made (except regularisation, if allowed by the competent authority).

79. Advance Deposits (Rebate)

- (1) Advance deposits may be made for **6 months or more** in any month.
- (2) **Rebate** (for ₹100 denomination) — (a) 6–11 deposits: **₹10**; (b) 12 or more: **₹40 for every 12** deposits (and ₹10 for any balance 6–11).
- (3) The rebate may be adjusted at deposit or paid to the depositor.
- (4) Advance deposits may be made at opening or any time thereafter.

80. Premature Closure (PMC)

- (1) An RD account may be closed prematurely after **3 years (36 months)** from opening.
- (2) **Interest** — at the **POSA rate** for completed months; no interest if closed before 3 years (except on death).
- (3) PMC is **not allowed** while advance deposits made are still within their period.

Online PMC

Depositors can close RD accounts prematurely **online** (Internet/Mobile Banking), where the account is linked to a POSA/bank account for credit of proceeds; the system computes the POSA-rate interest automatically.

81. Loan Against Recurring Deposit

- (1) A loan is available after **one year** and **12 monthly deposits**.
- (2) **Amount** — up to **50%** of the balance at credit.
- (3) **Repayment** — in lump sum or equal monthly instalments.
- (4) **Interest on loan = RD rate + 2% p.a.**, charged from the date of withdrawal to the date of repayment. (*If RD = 6.7%, loan rate = 8.7%.*)
- (5) If unpaid by maturity, the outstanding loan plus interest is deducted from the maturity value.

82. Maturity and Extension

- (1) **Maturity** — after **5 years (60 deposits)** from opening.

- (2) **Extension** — for a further **5 years** on application; during extension, deposits continue at the same denomination, earning the **rate at which the account was originally opened**.
- (3) **Retention** — the account may be retained without further deposits for 5 years, earning the RD rate.

“INOP” flagging post-maturity

If an RD matures and is neither closed nor extended for **3 years**, it is flagged **“INOP – Inoperative > 3 years”**; revival needs fresh KYC and Head-Postmaster approval.

Ref: SB Order No. 10/2025 dated 15.07.2025.

83. Protected Savings Scheme (Death Benefit)

- (1) On the depositor's death the **full maturity value** (as if all 60 instalments were paid) is payable to the nominee/heir, if: (a) the account ran at least **2 years**; (b) age at opening was **18–53 years**; (c) all instalments up to the month of death were paid; (d) it was never a discontinued account.
- (2) The benefit is capped at the **₹100 denomination** value; for higher denominations, proportionate normal interest is paid on the excess.

84. Repayment on Death (Normal)

- (1) Where the Protected Savings Scheme does not apply, the nominee/heir is paid the total deposited plus interest — at the **POSA rate** (if death before maturity) or the RD-scheme rate (per the notified tables).

85. Conversion of Account

- (1) An RD account **cannot** be converted to any other type (e.g. TD or SB).
- (2) Single ↔ Joint conversion is permitted per the general rules.

Chapter 9

National Savings Time Deposit (TD)

✓ **Current rates**

1-yr 6.9% · 2-yr 7.0% · 3-yr 7.1% · 5-yr 7.5% per annum (Q1 FY 2026-27, SB Order 01/2026). Interest is compounded quarterly but **paid annually**. Rate **locked at opening**.

86. Categories of Accounts

- (1) Four categories: **1-year, 2-year, 3-year and 5-year** Time Deposit accounts.
- (2) May be opened by a single adult, two/three adults jointly, a minor (above 10), or a guardian on behalf of a minor/person of unsound mind.
- (3) **Trusts** — specified funds (regimental/welfare) and trusts may invest, subject to notification.

87. Deposit Amount

- (1) **Minimum ₹1,000, in multiples of ₹100; no maximum limit.**
- (2) A separate account is opened for each deposit; subsequent deposits cannot be added (except on extension).

88. Payment of Interest

- (1) Interest is payable **annually** on completion of each year from opening.
- (2) Interest may be **withdrawn** or **auto-credited** to the holder's savings account.
- (3) Interest not withdrawn does **not** earn further interest (no compounding on the paid-out interest).
- (4) Interest is **calculated quarterly (compounded) but paid annually**.

🔔 **TDS on interest — Section 194A (corrected thresholds)**

- **TDS at 10%** applies where the aggregate interest from all the holder's TD/SCSS/MIS (and similar) accounts in a financial year exceeds the threshold. Following the **Finance Act 2025 (w.e.f. 01.04.2025)** the thresholds

are now: **₹50,000** for a general depositor and **₹1,00,000** for a senior citizen (60+).

- These replace the **earlier ₹40,000 / ₹50,000** limits, which are now **outdated**.
- **No PAN / invalid PAN → 20%. Centralised deduction:** Finacle deducts TDS automatically and accounts it at the CPRC. **Form 15G/15H** (to claim exemption) is flagged in the **HMF** (tax-exemption) menu in Finacle at the start of the year.

Ref: Section 194A, Income-tax Act, 1961 as amended by Finance Act 2025; SB Order No. 16/2025. Verified current as on 18.06.2026.

89. Premature Closure (PMC)

- (1) **Lock-in** — no withdrawal before **6 months** from deposit.
- (2) **Closed between 6 months and 1 year** — simple interest at the **POSA rate**.
- (3) **Closed after 1 year** — interest at **2% below** the rate for a TD of that completed tenure. (*e.g. a 5-yr TD closed after 3 yrs earns the 3-yr TD rate minus 2%.*) Interest already paid annually is adjusted from the final principal.

90. Pledging of Account

- (1) A TD may be pledged as security to authorised authorities (Governor, banks, HFCs, etc.).
- (2) The procedure (Form SB-13) and release are as in **Rule 68**.
- (3) Pledging is permitted only if the account is not under attachment.

91. Extension of Account

- (1) On maturity, the depositor may extend for a further period of the **same tenure**.
- (2) **Time limit to apply** — 1-yr TD: within 6 months; 2-yr TD: within 12 months; 3/5-yr TD: within 18 months of maturity.
- (3) **Rate on extension** — the rate applicable on the **date of maturity**.

No automatic extension in Finacle

If the depositor does not close the account on maturity, the account is **not** automatically extended in Finacle unless a specific request (or pre-maturity mandate) is registered. After the prescribed period it becomes 'Matured – Silent'.

92. Maturity of Account

- (1) The deposit is repayable on expiry of the tenure (1/2/3/5 years).
- (2) On the pass book and **SB-7A**; payment modes follow the general rule (cash < ₹20,000; cheque/transfer > ₹20,000).

93. Tax Benefit (5-Year TD)

- (1) A **5-year Time Deposit** qualifies for deduction under **Section 80C** (old tax regime).
- (2) A 5-year TD under 80C cannot be pledged or prematurely closed before **5 years** (except on death).

94. Payment on Death

- (1) On death, the account may be closed immediately.
- (2) **Interest** — if closed prematurely, at the **POSA rate** for the period held; if continued to maturity by the nominee/heir, the contracted TD rate.
- (3) A Joint (A or B) account survives to the surviving holder(s).

95. Conversion of Tenure

- (1) Conversion of tenure (e.g. 1-yr to 5-yr) is **not permitted**.
- (2) The account must be closed (subject to PMC) and a fresh account opened for the desired tenure.

Chapter 10

National Savings Monthly Income Account (MIS)

✓ **Current rate**

7.4% per annum (Q1 FY 2026-27, SB Order 01/2026), paid **monthly**. Rate locked at opening.

96. Opening of Account

- (1) May be opened by: (a) a single adult; (b) two/three adults jointly; (c) a minor of **10 years** or above; (d) a guardian on behalf of a minor/person of unsound mind.
- (2) A depositor may operate more than one account, subject to the **overall maximum** limit.

97. Deposit Limits

- (1) **Minimum ₹1,000**, in **multiples of ₹1,000**.
- (2) **Maximum** — **₹9,00,000** in a single account; **₹15,00,000** in a joint account.
- (3) In a joint account, the share of each holder is taken as **equal** for computing the individual limit.

✓ **Current maximum limits (verified)**

The **₹9 lakh (single) / ₹15 lakh (joint)** ceilings have applied since **01.04.2023** and are **current**. The limit counts **all MIS accounts** held by the depositor (individually and jointly). The pre-2023 limits of ₹4.5 lakh / ₹9 lakh are obsolete.

Ref: SB Order No. 05/2023 dated 31.03.2023. Verified current as on 18.06.2026.

98. Payment of Interest

- (1) Interest is payable on completion of a **month** from opening.
- (2) It is **auto-credited** monthly to the holder's savings account at the same or any other CBS post office.
- (3) Interest not withdrawn does **not** earn further interest.
- (4) The monthly interest is **rounded to the nearest rupee**.

TDS on interest — Section 194A (corrected thresholds)

- **TDS at 10%** applies where the aggregate interest from all the holder's TD/SCSS/MIS (and similar) accounts in a financial year exceeds the threshold. Following the **Finance Act 2025 (w.e.f. 01.04.2025)** the thresholds are now: **₹50,000** for a general depositor and **₹1,00,000** for a senior citizen (60+).
- These replace the **earlier ₹40,000 / ₹50,000** limits, which are now **outdated**.
- **No PAN / invalid PAN → 20%. Centralised deduction:** Finacle deducts TDS automatically and accounts it at the CPRC. **Form 15G/15H** (to claim exemption) is flagged in the **HMF** (tax-exemption) menu in Finacle at the start of the year.

Ref: Section 194A, Income-tax Act, 1961 as amended by Finance Act 2025; SB Order No. 16/2025. Verified current as on 18.06.2026.

99. Premature Closure (PMC)

- (1) **Lock-in** — no withdrawal before **1 year** from deposit.
- (2) **Closed between 1 and 3 years** — **2%** of the principal is deducted.
- (3) **Closed after 3 years** (before 5) — **1%** of the principal is deducted.
- (4) Any interest paid for the month of closure is recovered from the refund.

100. Maturity

- (1) Matures on completion of **5 years** from opening.
- (2) **No extension** is provided after maturity.
- (3) **Post-maturity interest** — if not closed, the balance earns the **POSA rate** for up to **two years**, after which it becomes Silent.

101. Excess Deposit

- (1) Any deposit over the ceiling is **refunded immediately**; the excess carries only the **POSA rate** from deposit to refund, and any MIS-rate interest paid on it is recovered.

102. Death of Depositor

- (1) The account may be closed immediately on death.
- (2) Interest at the **MIS rate** up to the month preceding closure; **principal refunded without the 1%/2% penalty**.

- (3) **Joint account** — on the death of one holder, the survivor(s) may continue, provided the survivor's aggregate limit is not breached (excess is refunded).

103. Transfer of Account

- (1) The account may be transferred between post offices.
- (2) The standing instruction for interest auto-credit must be re-linked to the new SOL ID / savings account, if applicable.

104. Conversion

- (1) MIS **cannot** be converted to any other scheme.
- (2) Single ↔ Joint conversion is **allowed**.

105. Pledging

- (1) Pledging (transfer as security) is available for MIS accounts.
- (2) Governed by the **Government Savings Promotion General Rules, 2018**.
- (3) Often required to furnish security to Government authorities.



Chapter 11

Senior Citizens Savings Scheme (SCSS)

✓ **Current rate**

8.2% per annum (Q1 FY 2026-27, SB Order 01/2026), paid **quarterly**. One of the two highest small-savings rates. Rate locked at opening.

106. Eligibility

- (1) May be opened by an individual who has attained **60 years** on the date of opening.
- (2) **Relaxations** — (a) age **55–60** for those retired on superannuation or VRS, **if the account is opened within one month** of receipt of retirement benefits, supported by an employer's certificate; (b) **retired defence personnel** (excluding civilian defence employees) on attaining **50 years**.
- (3) **Joint account** — only with the **spouse**; the age limit applies only to the **first holder**.

107. Deposit Amount

- (1) Only **one deposit** in the account, in multiples of **₹1,000**.
- (2) **Maximum** — **₹30,00,000** (Thirty lakh).
- (3) The depositor self-declares that all SCSS accounts together do not exceed the limit.

✓ **Enhanced limit (verified)**

The SCSS maximum was raised to **₹30 lakh w.e.f. 01.04.2023** (from ₹15 lakh) and is **current**. In a joint account the limit applies to the **first holder**. For retirees (55–60), the deposit is limited to the **retirement benefits received or ₹30 lakh, whichever is lower**.

Ref: SB Order No. 05/2023 dated 31.03.2023. Verified current as on 18.06.2026.

108. Payment of Interest

- (1) Interest is paid **quarterly** — on **31 March, 30 June, 30 September and 31 December**.
- (2) Interest for the broken period from deposit to the quarter-end is paid at the next quarter-end.
- (3) Interest is auto-credited to the linked savings account.

(4) Interest not withdrawn does **not** earn further interest.

TDS on SCSS interest — corrected threshold

- For a senior citizen, **TDS at 10%** applies where aggregate interest exceeds **₹1,00,000** in a financial year (raised from ₹50,000 by the **Finance Act 2025, w.e.f. 01.04.2025**). The earlier ₹50,000 figure is now **outdated**.
- **No/invalid PAN → 20%. Centralised deduction** by Finacle, accounted at CPRC. **Form 15H** (for those 60+) to claim exemption is flagged in the **HMF** menu.

Ref: Section 194A as amended by Finance Act 2025; SB Order No. 16/2025. Verified current.

109. Premature Closure (PMC)

- (1) May be closed any time on **Form SB-7B**.
- (2) **Penalties** — (a) **before 1 year**: no interest (any interest paid is recovered); (b) **after 1 but before 2 years**: **1.5%** of the deposit deducted; (c) **after 2 but before 5 years**: **1%** of the deposit deducted.

i **PMC after extension**

If an SCSS account is **extended** (for 3 years) and then closed **after one year** from the date of extension, **no deduction** is made.

Ref: SCSS Rules / GSPR amendment 2023.

110. Maturity and Extension

- (1) Matures on completion of **5 years**.
- (2) **Extension** — for a further **3 years**, on **Form SB-4** within **one year** of maturity.
- (3) **Rate on extension** — the rate prevailing on the **date of maturity**.

Multiple extensions now allowed

Under the current SCSS Rules an account may be extended for **multiple blocks of 3 years** — the depositor can extend again after completing the first extended block (each extension within one year of the relevant maturity). The earlier ‘only once’ position no longer applies.

Ref: Senior Citizens Savings Scheme Rules, 2019 (Ministry of Finance), adopted via SB Order.

111. Closure on Maturity

- (1) On the pass book and **SB-7A**; payment above **₹20,000** by account-payee cheque or credit to a savings account.

112. Spouse as Joint Holder

- (1) The **whole amount** is attributed to the **first holder**.
- (2) The spouse's age eligibility does not arise; the spouse may be a joint holder even if below 60.

113. Death of Depositor

- (1) On death, the account is closed.
- (2) **Interest** — at the **SCSS rate up to the date of death**, then at the **POSA rate** from death to closure.
- (3) **Spouse continuation** — the spouse (joint holder/sole nominee) may continue **if eligible** (60+ and within limits). If the spouse already holds SCSS, the combined total must not exceed **₹30 lakh**; any excess is refunded.

114. Transfer of Account

- (1) May be transferred between post offices; **transfer fee ₹100 + GST** per registration.

115. Commission to Agents

- (1) Agency commission (SAS/MPKBY) on SCSS deposits was **discontinued w.e.f. 01.12.2011**; deposits are made directly by the investor.

Chapter 12

Public Provident Fund (PPF)

✓ **Current rate**

7.1% per annum (Q1 FY 2026-27, SB Order 01/2026), annually compounded. PPF is **E-E-E** (deposit, interest and maturity all tax-exempt, old regime). Unlike fixed-rate schemes, the PPF rate is **floating** — the new quarterly rate applies to the whole balance.

116. Opening of Account

- (1) May be opened by: (a) an **individual** in their own name; (b) an individual for a **minor** of whom they are guardian; (c) an individual for a person of **unsound mind** of whom they are guardian.
- (2) **No joint accounts** — PPF must be a single account.
- (3) **Only one** account per person (in a post office or a bank); a second account is irregular.
- (4) **HUF / NRI** cannot open a **new** PPF account.

🔔 **Handling of irregular / multiple PPF accounts**

- **Multiple accounts** — the primary account is retained (within limits) and the others **merged** or **closed with refund of principal only** (no interest).
- **NRI** — an account held by a person who became NRI **after** opening is closed/deemed matured on the date of status change; post-maturity interest at the **POSA rate**.
- **Minor accounts** — interest is regulated strictly within the combined **₹1.5 lakh per guardian** limit.

Ref: SB Order No. 08/2024 & SB Order No. 12/2025 (regularisation of irregular small-savings accounts).

117. Deposit Limits

- (1) **Minimum ₹500** per financial year to keep the account active.

- (2) **Maximum ₹1,50,000** per financial year. *(Verified current; any amount above this earns no interest and gets no 80C benefit.)*
- (3) Deposits may be in lump sum or instalments; the **number of instalments is not limited** (the earlier cap of 12 has been removed).
- (4) For a guardian, the **₹1.5 lakh** limit covers the guardian's own account and the minor's account **together**.

118. Discontinued Accounts

- (1) An account where the minimum **₹500** is not paid in a financial year is **'Discontinued'**.
- (2) A discontinued account **cannot** be closed before maturity (15 years) or extended.
- (3) **Revival** — during the maturity period, by paying a penalty of **₹50 per defaulted year** plus the **₹500** minimum subscription arrears for each such year.

119. Interest

- (1) Declared **quarterly** by the Ministry of Finance.
- (2) **Calculated on the lowest balance** between the **close of the 5th** and the **end of the month** — so deposit by the 5th to earn interest for that month.
- (3) Credited at the **end of the financial year (31 March)**.
- (4) PPF interest is **completely tax-free**.

120. Loan Facility

- (1) A loan may be taken from the PPF account.
- (2) **Eligibility** — from the **3rd** to the end of the **6th** financial year.
- (3) **Quantum** — up to **25%** of the balance at the end of the **second year immediately preceding** the loan year.
- (4) **Repayment** — within **36 months**.
- (5) **Interest on loan** — **1% p.a.** if repaid within 36 months; **6% p.a.** on the outstanding if not.

i Loan interest is 1% p.a. (not "2% above PPF")

Under the **PPF Scheme 2019**, the borrower pays interest at a flat **1% per annum** on the loan amount (if repaid within 36 months). This replaced the old “2% above the PPF rate” rule.

Ref: Public Provident Fund Scheme, 2019.

121. Partial Withdrawal

- (1) Partial withdrawals are allowed from the **7th financial year**.
- (2) **Quantum** — up to **50%** of the balance at the end of the **4th year immediately preceding**, or at the end of the **preceding year**, whichever is **lower**.
- (3) **One** withdrawal per financial year.

122. Maturity

- (1) Matures on completion of **15 full financial years** from the **end of the year of opening**.
- (2) On maturity, the depositor may: (a) close and withdraw the full balance; (b) extend **with deposits**; (c) extend **without deposits**.

123. Extension

- (1) **With deposits** — for a block of **5 years** on **Form SB-4** within **one year** of maturity; withdrawal up to **60%** of the opening-block balance is allowed (spread over 5 years).
- (2) **Without deposits** — if no option is exercised, the account is automatically extended for 5 years without deposits; the balance continues to earn PPF interest; **one** withdrawal of any amount is allowed per year.

124. Premature Closure (PMC)

- (1) Allowed only after **5 financial years**.
- (2) **Grounds** — (a) life-threatening illness of the holder, spouse, dependent children or parents; (b) higher education of the holder or dependent children; (c) change of residency status (becoming NRI).
- (3) **Penalty** — interest recalculated at **1% below** the scheme rate, from the date of opening.

125. Death of Depositor

- (1) On death the account is closed immediately.
- (2) The nominee/heir **cannot continue** the account.
- (3) Interest at the **PPF rate** up to the end of the month preceding closure.
- (4) The **₹1.5 lakh** ceiling ceases to apply in the year of death; no further deposits are allowed after death.



Chapter 13

Sukanya Samriddhi Account (SSA)

✓ Current rate

8.2% per annum (Q1 FY 2026-27, SB Order 01/2026), annually compounded. SSA is **E-E-E** (tax-free). Like PPF, the SSA rate is **floating**.

126. Opening of Account

- (1) Opened by the **guardian** in the name of a **girl child** who has **not attained 10 years** on the date of opening.
- (2) Each girl child may have **one** account under the scheme.
- (3) **Family limit** — a guardian may open accounts for at most **two** girl children; the birth certificate accompanies the application.
- (4) **Twins/triplets** — the two-account limit may be relaxed where a first/second birth yields multiple girls, on a medical certificate.

🔔 Accounts opened by grandparents

Accounts irregularly opened by **grandparents** (not the legal guardian) when the natural parents are alive must be **regularised** — guardianship is transferred to the **natural (surviving) parent**; otherwise the account may be closed/treated as irregular.

Ref: SB Order No. 08/2024 (regularisation of irregular small-savings accounts).

127. Deposits

- (1) **Minimum** initial and annual deposit **₹250**.
- (2) **Maximum ₹1,50,000** in a financial year.
- (3) Deposits may be made for **15 years** from opening.
- (4) An account not funded with the **₹250** minimum in a financial year is an '**Account under Default**'.

128. Revival of a Default Account

- (1) May be regularised within **15 years** of opening.

- (2) **Penalty ₹50 per defaulted year** plus the **₹250** minimum for each such year.
- (3) If not regularised within 15 years, the deposit continues to earn interest until maturity.

129. Interest

- (1) Notified **quarterly** by the Government.
- (2) **Calculated on the lowest balance** between the **close of the 5th** and the **end of the month**.
- (3) Credited at the **end of each financial year (31 March)**.
- (4) Interest is **exempt from income tax (E-E-E)**.

130. Operation of Account

- (1) Operated by the **guardian** until the girl child attains **18 years**.
- (2) On attaining 18, the account holder operates the account herself on fresh **KYC**, fresh **specimen signature** and an application to take over.

131. Partial Withdrawal

- (1) Up to **50%** of the balance at the end of the **preceding financial year**.
- (2) **Conditions** — (a) the holder has attained **18 years or** passed the **10th standard**; (b) for **higher education**; (c) admission proof and fee slip are submitted.
- (3) May be in lump sum or instalments (one per year) for up to **5 years**, subject to the fee/charges ceiling.

132. Premature Closure (Compassionate Grounds)

- (1) Allowed after **5 years** on: (a) life-threatening illness of the account holder; (b) death of the guardian, where operation causes undue hardship.
- (2) Interest at the **SSA rate** (no penalty).
- (3) For any **other** reason (e.g. change of citizenship), interest at the **POSA rate**.

133. Closure on Maturity

- (1) Matures on completion of **21 years** from opening.
- (2) **No interest** is payable after 21 years.

- (3) The balance is paid to the **account holder** (girl child) on identity proof and the pass book.

134. Closure on Marriage

- (1) May be closed before maturity if the holder intends to marry.
- (2) **Conditions** — (a) holder has attained **18 years**; (b) application **one month before** or **three months after** marriage; (c) proof of age (18+) and declaration of marriage.
- (3) The full balance with accrued interest is paid.

Upload proof to ECM

Marriage proof (notification/card/affidavit) must be scanned and uploaded to the **ECM** system in Finacle before authorising the closure.

Ref: SB Order No. 05/2025.

135. Transfer of Account

- (1) May be transferred anywhere in India (post office ↔ post office, or post office ↔ bank).
- (2) **Fee** — **free** if proof of change of residence is produced; otherwise **₹100 + GST**.
- (3) The transferor sends the original AOF and a certified copy of the birth certificate to the transferee office.

i Note on e-KYC and SSA

SSA is the **one scheme expressly kept outside** the expanded e-KYC account-opening facility (SB Orders 07/2025 & 07A/2025) — SSA accounts continue to be opened on the paper-based process.

Chapter 14

National Savings Certificates (VIII Issue)

✓ **Current rate**

7.7% per annum (Q1 FY 2026-27, SB Order 01/2026 — unchanged), compounded annually but **payable at maturity**. The rate is **locked at the date of deposit** for the full five-year term.

136. Issue of Account (in lieu of Certificate)

- (1) NSC (VIII Issue) is issued in the form of a **pass book / e-mode** recorded in the CBS system — pre-printed paper certificates are no longer issued.
- (2) **Eligibility** — (a) a single adult for himself; (b) up to **three adults** jointly (Joint-A or Joint-B); (c) a **minor of 10 years** or above; (d) a **guardian** on behalf of a minor or a person of unsound mind.
- (3) **NRIs are not eligible** to purchase NSC. If a resident **becomes an NRI** during the currency of the account, he may continue it until maturity on a **non-repatriation basis**.

137. Deposit Amount

- (1) **Minimum ₹1,000.**
- (2) Deposits in **multiples of ₹100.**
- (3) **No maximum limit.**
- (4) Although issued as a pass book, deposits are treated as conceptual units of ₹100 / ₹1,000 / ₹5,000 / ₹10,000 for calculation.

138. Maturity of Account

- (1) Matures on completion of **5 years** from the date of deposit.
- (2) Maturity value is as **notified by the Central Government** for the relevant period of deposit.
- (3) **Tax (deposit side):** the deposit qualifies for deduction under **Section 80C** (within the overall ₹1.5 lakh ceiling).

- (4) **Interest reinvestment:** interest accruing annually (except in the final year) is **deemed reinvested** and itself qualifies for Section 80C — the depositor is liable to tax on interest in the year of accrual / receipt.

i No TDS on NSC — but interest is taxable

No TDS is deducted by the post office on NSC maturity payments. This does **not** mean the interest is tax-free — the depositor must offer the interest to tax in his return. Section 194A TDS (the ₹50,000 / ₹1,00,000 thresholds) applies to TD/SCSS/MIS interest, **not** to NSC.

139. Premature Closure (PMC)

- (1) An NSC **shall not be closed before maturity** except: (a) on **death** of the single holder or all joint holders; (b) on **forfeiture by a pledgee** who is a Gazetted Officer; (c) on **order of a court**.
- (2) **Amount payable on PMC** — (a) within **1 year**: only the **principal** (no interest); (b) between **1 and 3 years**: simple interest at the **POSA rate**; (c) after **3 years**: as per the **premature-closure table** (discounted value) notified by the Government.

140. Transfer and Pledging

- (1) **Transfer from one person to another** is permitted **only once** during the currency, with the Postmaster's consent, on: (a) death of holder → legal heir; (b) joint holders → one of the joint holders; (c) order of a court.
- (2) **Pledging** — may be pledged as security to authorised authorities (banks, housing-finance companies, government authorities). **Fee ₹100 + GST**. The pledgee may invoke the pledge and encash on default.

 Statutory update — inoperative NSC after maturity

If an NSC is **not encashed within 3 years** after the date of maturity it is flagged '**INOP – Inoperative > 3 years**' in Finacle, and **revival by the Head Postmaster** is required before payment.

Ref: SB Order No. 10/2025.

Chapter 15

Kisan Vikas Patra (KVP)

✓ Current rate & doubling period

7.5% per annum, compounded annually (Q1 FY 2026-27, SB Order 01/2026 — unchanged). At this rate the deposit **doubles in 115 months** (9 years 7 months). The doubling period moves inversely with the rate and is fixed at the date of deposit.

141. Issue of Account

- (1) KVP is issued as a **pass book / e-mode**.
- (2) **Eligibility** — (a) single adult; (b) Joint-A (up to 3 adults); (c) Joint-B (up to 3 adults); (d) minor above **10 years**; (e) guardian on behalf of a minor / person of unsound mind.
- (3) **Trusts** are eligible to invest in KVP. (HUFs and NRIs are not.)

142. Deposit Amount

- (1) **Minimum ₹1,000**.
- (2) Deposits in **multiples of ₹100**.
- (3) **No maximum limit**.

143. Maturity Period (Doubling Time)

- (1) The maturity period is fixed by the **Ministry of Finance** based on the rate prevailing at the date of deposit; the corpus **doubles** on maturity.
- (2) At the **current 7.5%** the period is **115 months**.
- (3) The maturity date is computed automatically by the CBS system at opening.

144. Premature Closure (PMC)

- (1) KVP may be prematurely closed at any time **after 2 years 6 months (30 months)** from the date of deposit.
- (2) **Lock-in period: 2 years 6 months**.

- (3) **Closure before lock-in** is allowed only on **death** of the holder(s), **forfeiture** by a pledgee, or **court order**.
- (4) After the lock-in, the amount payable follows the **premature-closure table** (notified values giving a reduced effective return).

145. Transfer of KVP

- (1) **Person-to-person transfer** is permitted **only once** during the currency, subject to conditions (death, court order, joint → single).
- (2) **Transfer fee ₹100 + GST** per case.
- (3) **Office-to-office transfer** is permitted freely anywhere in India.

i Tax position — no TDS, interest taxable

As with NSC, **no TDS** is deducted on KVP encashment, but the interest is **taxable** in the holder's hands under 'Income from Other Sources'. KVP deposits do **not** qualify for any Section 80C deduction.



Chapter 15A

Cash Management in CBS Offices

i Note on chapter numbering

The parent manual labels both this and the preceding KVP chapter as 'Chapter 15'. To preserve **rule-number parity** (Rules 146–155) this material is presented as **Chapter 15A**; the rule numbers are unchanged from the source.

146. Maximum Cash Balance

- (1) The maximum cash balance an office (HO/SO/BO) may retain is fixed by the **Superintendent of Post Offices** or the **Head of the Circle**.
- (2) **No office** shall retain cash above the authorised maximum after the close of business, except under special circumstances with the competent authority's permission.
- (3) **Excess cash** must be remitted to the bank / treasury / account office the **same day or the next morning**.

🔔 Statutory update — cash-conveyance limits

Monetary limits for conveyance of cash by departmental employees have been enhanced: **foot / bicycle** up to **₹5,00,000**; **two-wheeler** up to **₹10,00,000**; **public transport / hired vehicle (with armed guard)** up to **₹20,00,000**.

Ref: Postal Directorate Order No. 25-01/2024-PO dated 10.01.2025. (Conveyance limits — verify against the latest establishment order before quoting in an inspection note.)

147. Supply of Funds to Sub Offices

- (1) Sub offices obtain funds from: (a) the **Head Post Office**; (b) the **bank / treasury** in account; (c) **surplus** received from branch offices.
- (2) **Drawing from bank** — the SPM draws cash by a **cheque** he signs; the amount is entered in the **SO Daily Account** and the **Treasurer's Cash Book**.

148. Supply of Funds to Branch Offices

- (1) The Account Office (HO/SO) supplies funds to its BOs on the **BO Daily Account** or a **requisition**.
- (2) **Mode** — (a) **cash** in a cash bag via the mail carrier; (b) **electronic transfer** where the BO is RICT/CBS-enabled with a mapped bank / IPPB arrangement.
- (3) The sum sent is **debited** in the Account Office and **credited** in the BO accounts.

149. Disposal of Surplus Funds from BOs

- (1) When BO cash exceeds the authorised limit (liabilities + minimum cash) the **BPM** must remit the surplus to the Account Office.
- (2) The remittance is entered on the **payment side** of the BO Daily Account and enclosed in the cash bag.
- (3) The Account Office opens the cash bag **before witnesses** and verifies the cash against the BO Daily Account entry.

150. Shortage or Excess in Cash

- (1) **Excess found** — credit immediately to '**Unclassified Receipts**' (**UCR**); it must not be used for any payment until the cause is established.
- (2) **Shortage found** — the responsible official makes it good at once; if not, it is reported to the Superintendent and adjusted by debit to '**UCP**' (or the relevant advance head) pending recovery.

151. Custody of Cash

- (1) The **Postmaster is personally responsible** for safe custody of cash.
- (2) **Joint custody** — in large offices, treasury cash and valuables are held in the joint custody of the Postmaster (or Treasurer) and another authorised official.
- (3) Keys of the safe / strong room stay in the personal custody of the joint holders and are **not exchanged**.

152. Treasury Pass Book / Bank Scroll

- (1) For offices in account with a (nationalised) bank, a **Treasury Pass Book** / bank statement is maintained.
- (2) All remittances to and withdrawals from the bank are entered in it.

- (3) **Daily reconciliation** — the Postmaster verifies the Treasury Pass Book against the **Bank Scroll** and the office Cash Book daily.

153. Counterfeit Currency Notes

- (1) Counter staff must examine notes received from the public.
- (2) On detecting a **counterfeit note**: it is **impounded** by the Postmaster; **branded** 'COUNTERFEIT BANK NOTE'; a **receipt** is issued to the tenderer on request but the note is **not returned**; and the matter is reported to the police where the number of notes is high, as per RBI guidelines.

Statutory update — digital payments & cash retention

With **UPI QR codes** mandated at all postal counters, offices are instructed to **minimise cash retention** — remit to the bank more frequently and encourage **QR / IPPB** deposits to reduce cash-handling risk.

Ref: SB Order No. 02/2024.

154. Verification of Cash Balance

- (1) The Postmaster verifies the office cash balance **at the close of each day**.
- (2) Physical cash must tally with the **closing balance** in the **Treasurer's Cash Book** and the **Finacle Cash Report**.
- (3) A certificate 'Cash Balance Verified and found correct' is recorded and signed in the Cash Book daily.

155. Accounting of Cash in Finacle (CBS)

- (1) The cash account is maintained under the **SOL ID**.
- (2) **Vault Account** — the office's main cash balance.
- (3) **Teller Account** — each counter PA has one; customer cash is debited to it and transferred to the **Vault** at end of day.
- (4) The system **prevents a teller holding cash above the assigned User Cash Limit**.

Chapter 16

Inspection and Audit Questionnaire

156. Objectives of Inspection

- (1) Inspection of the SB branch ensures that: (a) **POSB Manual and SB Order** procedures are strictly followed; (b) the interests of **depositors and the Government** are safeguarded; (c) **system-generated reports** are generated and reviewed daily; (d) **frauds and irregularities** are detected and prevented.
- (2) The Inspecting Officer (IPO/ASP/Supdt) verifies the percentage of transactions and accounts prescribed in the **Inspection Questionnaire**.

157. Verification of High-Value Transactions

- (1) The IO verifies **all withdrawals exceeding ₹50,000** during the inspection period.
- (2) **Points** — signature matches the system specimen; **PAN** obtained and verified; the **Postmaster verified** the transaction in the system before authorisation.
- (3) The IO also scans the **Long Book / Transaction Report** for unusual withdrawal patterns.

158. Verification of Silent-Account Revival

- (1) The IO checks **100%** (or the prescribed percentage) of **silent accounts revived** during the period.
- (2) **Checks** — fresh **revival application**; fresh **KYC** uploaded to the CIF; whether a **withdrawal followed immediately** after revival.
- (3) **Fraud indicator** — frequent revival of silent accounts followed by cash withdrawals suggests counter-staff fraud.

159. Verification of Deceased-Claim Cases

- (1) The IO verifies deceased-claim cases sanctioned by the Postmaster.
- (2) **Checks** — sanction within the prescribed financial powers; **death certificate** genuine (verify with the issuing authority if suspicious); **legal evidence** obtained

where required (no nomination **and** claim > ₹5 lakh); payment by **cheque / credit to account** (mandatory above ₹20,000).

160. KYC Compliance Audit

- (1) The IO selects a random sample of **new accounts** opened in the period.
- (2) **Checks** — CIF properly created; **photo and signature** scanned and clearly visible; **ID / address proof** correctly entered in the CIF.

Statutory update — audit of Aadhaar secrecy & masking

The IO must verify that: physical Aadhaar copies on vouchers have the **first 8 digits masked**; the **Aadhaar Vault reference** is generated in the system; and **no unmasked Aadhaar number** appears on the pass book or counterfoils.

Ref: SB Order No. 01/2025.

161. User ID and System Security

- (1) The IO verifies the list of **active users** in the office.
- (2) **Checks** — IDs of **transferred / retired / long-leave** officials **disabled**; the Postmaster has **not shared** his password or ID (strictly prohibited); the **biometric device** (if any) functions and is used only by the authorised user.

162. Verification of Cash Balance

- (1) The IO **physically verifies** the office cash balance.
- (2) **Reconciliation** — physical cash tallies with the **Treasurer's Cash Book** and the **Vault Balance** in Finacle.
- (3) Any **excess / shortage** is reported immediately.

163. Stock Verification (Pass Books & Cheques)

- (1) The IO verifies physical stock of: **blank pass books** (SB/RD/TD etc.); **blank savings certificates** (if any remain); **blank cheque books**.
- (2) Physical stock must agree with the **Stock Register** and the **CBS inventory**.
- (3) **Series / numbers** must be continuous and accounted for.

164. Interest Payment and TDS Check

- (1) The IO verifies **correct interest application**, especially for **SCSS** and **TD** accounts closed prematurely.

- (2) **TDS check** — verify TDS deduction for SCSS / TD accounts where interest crosses the **Section 194A threshold**; since deduction is automated, check the **PAN is validly seeded** (else penal 20%).

TDS on interest — Section 194A (corrected thresholds)

- **TDS at 10%** applies where the aggregate interest from all the holder's TD/SCSS/MIS (and similar) accounts in a financial year exceeds the threshold. Following the **Finance Act 2025 (w.e.f. 01.04.2025)** the thresholds are now: **₹50,000** for a general depositor and **₹1,00,000** for a senior citizen (60+).
- These replace the **earlier ₹40,000 / ₹50,000** limits, which are now **outdated**.
- **No PAN / invalid PAN → 20%**. Deduction is **centralised** — Finacle deducts automatically and accounts it at the CPRC; **Form 15G/15H** is flagged in the **HMF** menu at the start of the year.

Ref: Section 194A, Income-tax Act 1961 as amended by Finance Act 2025; SB Order No. 16/2025. Verified current as on 18.06.2026.

Statutory update — centralised TDS audit

Instead of checking local GL codes, the IO verifies the '**TDS Certificate Issue Register**' to ensure customers requesting **Form 16A** are serviced through the **CPRC** download facility.

Ref: SB Order No. 16/2025.

165. Common Irregularities (Questionnaire Items)

- (1) Standard items the IO looks for:

- **Splitting of deposits** — multiple same-day accounts (MIS/TD) to dodge TDS or prescribed limits.
- **Non-entry of lien** — failure to mark 'Lien' / 'Pledge' in the system despite a physical pass-book endorsement.
- **Pending pass books** — retained long without entry in the 'Undeliverable Pass Books Register'.
- **Manual corrections** — use of correcting fluid (whitener) on vouchers / registers (strictly prohibited).

Chapter 17

Savings Bank Control Organization (SBCO)

166. Constitution and Role of SBCO

- (1) The **SBCO** is established in **every Head Post Office** as an **independent internal-audit wing** for Savings Bank operations.
- (2) **Primary role** — verify that HO and SO transactions are genuine and properly accounted; ensure **100% checking** of vouchers against the **LOT / consolidation**; prevent and detect frauds.
- (3) **Independence** — SBCO staff are independent of SB-branch staff; the **PA (SBCO)** performs **no counter duty** in the SB branch.

167. Receipt of Vouchers

- (1) SBCO receives sealed voucher bundles **daily** from: (a) the **HO counter** (via the APM); (b) the **sub offices** (via the Sub Account Branch).
- (2) **Each bundle** must contain the scheme-wise **Consolidation Report**, all **deposit and withdrawal vouchers** (pay-in-slips, SB-7, SB-7A) and the **Long Book / LOT** (if printed).
- (3) The SBCO In-charge signs the **Receipt Register** acknowledging the bundles.

168. Checking of Vouchers (General)

- (1) The SBCO Assistant carries out **100% checking**.
- (2) **Checks** — voucher amount matches the consolidation / LOT; **date stamp** present; **account number and name** correct; voucher signed by the **depositor** and authorised by the **supervisor**.
- (3) **Arithmetical check** — consolidation totals tally with the **Daily Account / Cash Book**.

 Statutory update — centralised reconciliation (CPRC)

With the **Centralised Processing & Reconciliation Centre (CPRC)**: SBCO verifies that **Transaction-SOL** accounting matches the physical vouchers, and — because **online**

(INB/MB) transactions are reconciled centrally — SBCO focuses on counter transactions.

Ref: SB Order No. 12/2025.

169. Verification of High-Value & Closure Vouchers

- (1) The **SBCO Supervisor** personally checks: (a) all **withdrawals of ₹20,000 and above**; (b) all **deposits of ₹50,000 and above**; (c) **all account-closure vouchers** (premature or maturity).
- (2) **Verification** — compare the voucher signature with the Finacle **specimen** (View Signature menu); ensure **KYC / PAN** copies are attached where mandatory.

170. Maintenance of Objection Register

- (1) Any irregularity noticed is entered in the **Objection Register (Form SB-61)**.
- (2) It is sent to the Postmaster **daily** for remarks and settlement.
- (3) **Common objections** — missing voucher; supervisor authorisation missing (system or voucher); voucher not signed by depositor; erasures / overwriting.

171. Unposted Items

- (1) Under CBS, 'unposted items' are **rare** as updating is real-time.
- (2) Where a manual correction is made, or a voucher exists without a matching system entry (or vice-versa), it is noted as an **unposted item** and monitored until rectified.

172. Preservation of Records (SBCO)

- (1) SBCO is the **custodian** of SB financial records.
- (2) **Preservation period** — vouchers **5 years**; Long Book / consolidation **10 years**; Objection Register **3 years**; interest sheets **5 years**.
- (3) Records of **fraud or court cases** are preserved **permanently** until the case is finalised.

⚠ Verify retention periods against the current order

Record-retention periods are periodically revised by the Directorate. Treat the periods above as the manual's stated values and **confirm against the latest SB Order / records-retention schedule** before citing them in an audit objection.

173. Reporting of Frauds

- (1) On a transaction appearing fraudulent (forged signature, manipulated figures, fake pass book) the SBCO In-charge **immediately reports** to: (a) the **Postmaster**; (b) the **Divisional Head**.
- (2) **Sealing** — the relevant vouchers / records are withdrawn and kept in safe custody **under seal** at once.

174. Preventive Measures

- (1) **Rotation of staff** between the SB counter, treasury and other branches to prevent vested interests.
- (2) **Password secrecy** — sharing Finacle passwords is the leading cause of internal fraud; strict disciplinary action follows.
- (3) **Aadhaar masking** — no unmasked Aadhaar copies in voucher bundles (data-privacy risk).

175. Fraud Risk Management Unit (FRMU) Alerts

- (1) The **FRMU** (Circle / Directorate) generates alerts for suspicious transactions (high transaction velocity, multiple accounts in a short span).
- (2) **Role of Postmaster / SBCO** — alerts go to the HO for verification; the Postmaster, assisted by SBCO, verifies genuineness and reports within the timeline. Use the **HIARM** menu in Finacle to review high-risk alerts before end of day.

Statutory update — biometric login for staff

To prevent unauthorised use of User IDs, **biometric login** is being rolled out for counter staff in sensitive roles.

Ref: SB Order No. 04/2025.

Chapter 18

Customer Service Standards

176. Citizen's Charter (Time Norms)

- (1) The Department is committed to responsive, efficient service to depositors.
- (2) Time norms prescribed in the Citizen's Charter for SB services in computerised (CBS) offices:

Service	Time standard (working days)
Opening of account	Same day (cash) / 3 days (local cheque)
Closure of account	Same day
Issue of cheque book	Same day (if stock at counter)
Issue of duplicate pass book	Same day (after verification)
Deceased claim — nomination exists	1 working day
Deceased claim — other cases	7 working days
Transfer of account (electronic)	1 working day

 Statutory update — service guarantee (Sevottam)

Under the **Sevottam** model, any delay beyond the Citizen's Charter limits **without a valid reason** (e.g. system downtime reported via ticket) renders the service **deficient**.

Ref: Postal Directorate Service Standards 2025. (Verify the precise norms against the current Citizen's Charter before quoting.)

177. Registration of Complaints

- (1) A **Complaint Book (Form Cgt-1)** is maintained in every office, kept accessible to the public.
- (2) Complaints may also be lodged via: (a) the **India Post website**; (b) the **CPGRAMS** portal (pgportal.gov.in); (c) the **toll-free number** (1800-266-6868); (d) a **manual application** to the Postmaster / Superintendent.
- (3) The Postmaster examines the Complaint Book **daily** and acts immediately.

178. CPGRAMS

- (1) **CPGRAMS** is the primary online platform for lodging and monitoring postal grievances.
- (2) Grievances are routed electronically to the concerned Divisional Head / Postmaster.
- (3) Remarks and the final reply are uploaded before closing the docket.

Statutory update — grievance timelines

DARPG has reduced the maximum disposal timeline from **45 to 30 days** (standard target **21 days**). A dissatisfied complainant may **appeal within 30 days** of closure.

Ref: SB Order No. 06/2024 / DARPG guidelines. (DARPG has continued to tighten CPGRAMS timelines — confirm the current target before quoting.)

179. Handling of Failed Transactions (ATM / Digital)

- (1) On a failed ATM transaction (account debited, cash not dispensed) or a failed MB/INB transaction, the depositor lodges a complaint with the **Transaction ID**; the CPC / Switch Centre reconciles it.
- (2) **Auto-reversal** — failed transactions are generally auto-reversed within **T+5 working days**.

Statutory update — RBI TAT & compensation

DoP has adopted the **RBI Turn-Around-Time and compensation** norms: **ATM cash-out** — reversal within **T+5**, compensation **₹100 per day** of delay beyond T+5; **card-to-card transfer** — reversal within **T+1**, compensation **₹100 per day** beyond T+1.

Ref: SB Order No. 11/2025 dated 02.06.2025 (adopting RBI Harmonisation of TAT, RBI/2019-20/67).

180. Facilities for Senior Citizens & Differently-Abled

- (1) A **separate / priority queue** is provided to senior citizens and differently-abled persons at the SB counter.
- (2) Counter staff **assist** illiterate / differently-abled depositors in filling pay-in-slips and withdrawal forms.
- (3) **Jeevan Pramaan** (Digital Life Certificate) is made available at the counter for pensioners / SCSS holders.

181. Doorstep Banking (DSB)

- (1) DSB is provided to eligible customers (senior citizens > **70 years**, differently-abled) on request.
- (2) **Services** — cash delivery (withdrawal); pick-up of cash / instruments (deposit); delivery of cheque book / pass book.
- (3) **Charges** — prescribed service charge (e.g. **₹60 + GST**) per visit.

Statutory update — DSB via IPPB / AePS

The Department leverages the **IPPB** network (GDS / postmen) to extend Doorstep Banking to **POSB account holders**, including doorstep cash withdrawal through **AePS** (Aadhaar Enabled Payment System).

Ref: SB Order No. 02/2025.

182. Right to Information (RTI) in POSB

- (1) A depositor may seek information on his **own account** under the **RTI Act 2005**.
- (2) **Third-party** account information is held in a **fiduciary relationship** and is **exempt** under **Sections 8(1)(e) and 8(1)(j)** unless a larger public interest is shown; the CPIO must deny such requests.

183. Confidentiality and Privacy

- (1) Staff are bound by the **Official Secrets Act** and the conduct rules on secrecy of accounts.
- (2) Balance / transaction details are **not disclosed** to anyone but the depositor, except:
 - (a) the **Income-Tax Authority** (statutory notice); (b) a **court** (summons); (c) the **Police / CBI** (written requisition for investigation).

184. Customer Rights Policy

- (1) The Department adopts the **Model Customer Rights Policy**: **Right to Fair Treatment** (no discrimination by gender, age, religion, caste); **Right to Transparency** (terms, rates and charges displayed clearly); **Right to Suitability** (products suited to the customer's needs); **Right to Privacy** (protection of personal data).

185. Consumer Protection Act, 2019

- (1) POSB services fall within 'service' under the **Consumer Protection Act 2019**.

- (2) **Liability** for 'deficiency in service' arises on: delay in settling claims; loss of cheque / instrument; unauthorised withdrawal due to staff negligence.
- (3) **Jurisdiction** — a depositor may approach the **District Consumer Disputes Redressal Commission** if the grievance is not resolved departmentally.



Chapter 19

Digital Banking Services

186. Department of Posts Internet Banking (DOP-INB)

- (1) **Eligibility** — (a) single account holders; (b) Joint-A or Joint-B holders; (c) valid POSA holders with a linked ATM card (initially required for activation; relaxed for view-only).
- (2) **Registration** — apply in **Form ATM/INB-1** at the home branch.
- (3) **Services** — **view-only** (balance, statement) and **transaction rights** (fund transfer self / third-party, deposits into RD/PPF/SSA, online opening of TD/RD/NSC/KVP).
- (4) **Activation** — the User ID is sent by SMS / email; the user activates via the '**New User Activation**' link on the e-Banking portal.

 Statutory update — online transaction limits

Intra-DOP (within India Post): up to ₹5,00,000 per day. **NEFT:** up to ₹25,00,000 per transaction / day. **RTGS:** minimum ₹2,00,000, maximum ₹25,00,000 per day.

Ref: SB Order No. 09/2024 & RBI payment-system notification. (Per-day caps are revised periodically — verify the current limit before quoting.)

187. India Post Mobile Banking

- (1) Available through the '**India Post Mobile Banking**' app (Android / iOS).
- (2) **Eligibility** — same as internet banking; a valid **CIF** and **POSB account** are required.
- (3) **Features** — mini-statement (last 10 transactions); fund transfer (own and added third-party); requests (cheque book, stop payment, ATM-card block).
- (4) **Security** — **MPIN** (login) and **TPIN** (transaction).

188. ATM / Debit Card Facility

- (1) **Issuance** — to holders of a **POSA** (and current accounts, if introduced).
- (2) **Charges** — issuance **free** (initial); **replacement ₹300 + GST**; **annual maintenance ₹125 + GST** (2nd year onward).

- (3) **Usage limits** — cash withdrawal at a **DOP ATM ₹25,000** per transaction / day; at **another bank's ATM ₹10,000** per transaction; **5 free** transactions per month at other-bank ATMs (3 in metros).

Statutory update — mandatory card-control

Users must use the Mobile Banking app or IVR to **enable / disable** specific channels (ATM / POS / online) and set **per-transaction limits**. Cards are issued '**disabled for online / contactless**' by default.

Ref: SB Order No. 14/2024 (DoP adoption of RBI card-control / tokenisation norms). ATM charges per DoP F.No. CBS-25/95/2021-FS-DOP w.e.f. 01.10.2021, in force.

189. Electronic Fund Transfer (NEFT / RTGS)

- (1) **Availability** — at all CBS offices and via online channels (INB / MB).
- (2) **IFSC** — the single code for all POSB accounts across India is **IPOS0000DOP**.
- (3) **Charges** — **online (INB/MB) free**; **counter** charges apply by amount slab (about ₹2.50 to ₹25 + GST).
- (4) **Settlement** — through the **IPPB nodal-account** mechanism linked with the RBI.

190. IPPB Linkage (Sweep-in / Sweep-out)

- (1) A **POSA** can be linked to an **IPPB** account.
- (2) **Sweep-out** — any IPPB balance above the regulatory limit (**₹2,00,000**) is swept to the linked POSA at end of day.
- (3) **Sweep-in** — where IPPB balance is insufficient, funds can be swept in from the POSA (on user authorisation).
- (4) The linkage gives POSA customers access to **AePS** and **UPI** via the IPPB app.

191. SMS Banking & Alerts

- (1) **Mandatory alerts** — SMS to the registered mobile for all **debits / credits of ₹50 and above** (or as configured), new CIF / account creation, and ATM / POS transactions.
- (2) **SMS banking** — keywords (REGISTER / BAL / MINI) to the designated short-code (7738062873) return information.
- (3) **Charges** — annual SMS-alert charge **₹12 + GST** (waived for certain premium / senior-citizen accounts as per the latest order).

192. Security Guidelines for Digital Banking

- (1) **Phishing** — the Department **never** asks for MPIN / TPIN / OTP / passwords by call / SMS / email.
- (2) **Virtual keyboard** — advised for internet-banking login on public computers.
- (3) **Cooling period** — on adding a new beneficiary, a cooling period (e.g. 4 hours) applies before a full transfer is allowed.



Chapter 20

Appendices & Miscellaneous

193. List of Important Forms (Revised 2025)

New form no.	Description	Old form (ref.)
SB-eKYC-1	Account opening (e-KYC)	N/A (new)
SB-3	Account opening (non-biometric)	SB-3
SB-103	Pay-in-slip	SB-103
SB-7	Withdrawal	SB-7
SB-7A	Closure of account	SB-7A
SB-7B	Premature closure (SCSS / TD)	SB-7B
SB-4	Extension of account	SB-4
SB-41	Duplicate pass book	SB-41
SB-13	Pledge / release of security	SB-13
SB-83	Automatic transfer (standing instruction)	SB-83
SB-46	Grant of loan (RD / PPF)	SB-46

Form numbers per the manual's revised-2025 list; confirm against the current SB Order before relying on a specific form code.

194. Glossary of CBS Terms

- (1) **SOL ID** — Service Outlet ID (unique 8-digit code for each post office).
- (2) **CIF** — Customer Identification File.
- (3) **SAN** — Savings Account Number (unique 10/12-digit account number).
- (4) **HO-DOP** — the entity name of the Department of Posts in Finacle.
- (5) **SOLID+0382** — the office account used for cheque-clearing / remittance reconciliation.
- (6) **HIARM** — the Finacle menu for high-value alert review (High-value Account Regularisation Monitoring).
- (7) **HAF** — the Finacle menu for account finding / inquiry.

195. Power to Relax

- (1) Where the **Director General (Posts)** is satisfied that the operation of any rule causes **undue hardship** in a particular case, he may, by order and **for reasons recorded in writing**, dispense with or relax that rule to the extent and subject to the conditions he considers necessary.
- (2) Such relaxation shall **not be inconsistent** with the statutory provisions of the **Government Savings Promotion General Rules, 2018**.

i Governing-framework reminder

These manual rules are **administrative / procedural** and operate under the **Government Savings Promotion Act 1873** and the **GSPR 2018** (as amended through 2023 and by the GSPR (Amendment) Rules 2025), read with the scheme-specific rules (PPF Scheme 2019, SCSS Rules 2019, SSA Scheme 2019, NSC VIII Issue, KVP). Where any procedural instruction here conflicts with the statutory rules or a later SB Order, the **statutory rule / later order prevails**.

